

complaint

Ms H has complained that she has struggled to find affordable insurance after problems with her home insurance policy by Lloyds Bank Insurance Services Limited ("Lloyds TSB"), under which she made a claim.

background

Ms H was offered a quote for home insurance through Lloyds TSB, as broker, in September 2010. The quote was accepted, but the policy was subsequently voided by the underwriter on the basis that material facts had not been disclosed when the policy was taken out. Ms H complained as she felt that everything had been disclosed.

Lloyds TSB later accepted that no non-disclosure had taken place and the policy had been mis-sold. Accordingly, it offered to insure Ms H for 12 months under one of its own policies and honour the premium originally offered. Ms H was also offered £100 compensation for the distress and inconvenience caused. During the period of insurance with Lloyds TSB, Ms H made a theft claim under the policy.

Ms H did not renew the policy with Lloyds TSB as the renewal premium was too high, but struggled to find affordable insurance elsewhere, ultimately obtaining specialist insurance through a broker. Ms H was told that insurers saw the theft claim as a high risk, particularly as she would be a new customer.

Our adjudicator did not recommend that the complaint should be upheld. She considered that Lloyds TSB had redressed the mis-sale appropriately, and that the affect the claim for theft has on premiums offered on the market is not something that can be attributed to Lloyds TSB.

Ms H disagreed, as she feels that Lloyds TSB should have offered to renew the policy at a reduced premium. She also feels that Lloyds TSB acted as the intermediary when the policy was mis-sold, so should bear responsibility. I note that since the complaint has been referred to me, there has been concern that a record of the avoidance/cancellation of the policy has remained on the Claims and Underwriting Exchange's (CUE) database.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

It is not in dispute that Lloyds TSB made a mistake when it brokered Ms H's policy. It accepted this and offered to insure Ms H for 12 months itself, at the same premium she had originally been offered. It also offered £100 compensation for the distress and inconvenience caused and amended records showing the policy had been avoided. I consider that it behaved appropriately in doing so and righted the mistake it had made.

I understand that Ms H decided not to renew the policy, as the premium had increased substantially. Instead, she sought a policy in the open market; unfortunately, these policies were also costlier than she had hoped. However, I cannot interfere in how Lloyds TSB, or other insurers, price their policies. This is a matter for each insurer's commercial judgment, taking into account matters including the consumer's claims history. An insurer is not under any obligation to offer the same premium it did the previous year. In this case, Ms H had

made a claim under the Lloyds TSB policy, which appears to have been taken into account when she sought a new policy. I do not feel it fair for Lloyds TSB to be held responsible for this, as I do not consider the theft claim has any connection to Lloyds TSB's initial mistakes with the policy. These mistakes were put right. I am aware that there was some concern that a record of the voidance/cancellation remained, but I understand this has been checked and we have been assured this is not the case.

Accordingly, I am satisfied that Lloyds TSB acted appropriately when it realised its error. It is not responsible for the premiums other insurers have offered as these are not related to Lloyds TSB's error. Nor can I interfere in how Lloyds TSB priced the policy at renewal, as this was an exercise of its legitimate commercial judgment.

my final decision

It is my final decision not to uphold this complaint. I make no award against Lloyds Bank Insurance Services Limited.

Elspeth Wood
ombudsman